LIVEWIRE: 5 YEARS IN AND 1% OF PLAN · PART 4 OF 4

IT WAS DECIDED IN NOV 2025

The quarter was reported in July 2026. The outcome was settled eight months earlier, in a loan agreement.

S2 DEL MAR · MANUFACTURER IMAGE

FIFTEEN MONTHS, FIVE FILINGS

FEB 2024

$100M convertible loan. If LiveWire can't repay, H-D converts to equity. Never drawn.

NOV 2025

Conversion feature REMOVED. Security interest over substantially all assets added. Covenants added.

DEC 2025

$75M drawn. Interest accrues to maturity.

FEB 2026

"Does not plan to make additional investments."

MAY 2026

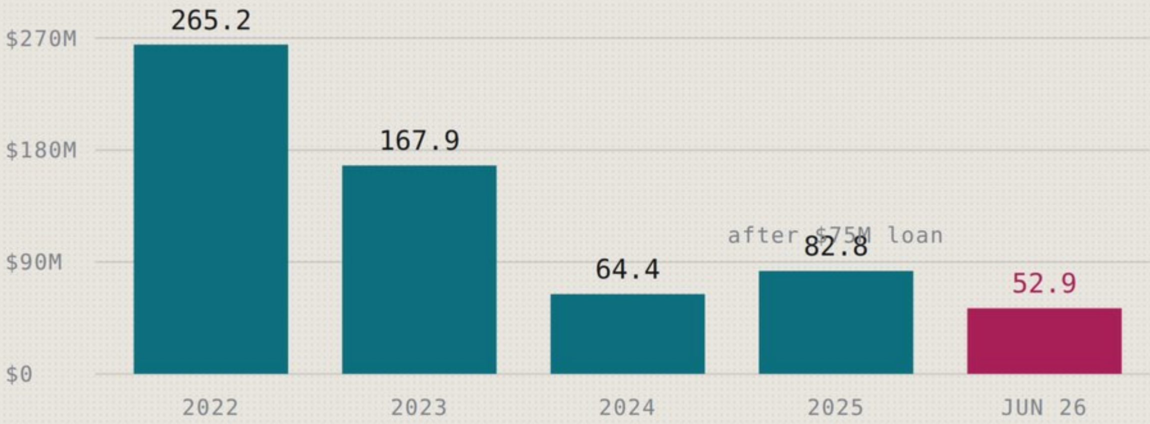
Five-year strategy. No LiveWire target.
The word "electric" does not appear.


HARLEY-DAVIDSON BUILT IT, BADGED IT, SOLD IT, THEN LENT AGAINST IT · LIVEWIRE ONE

IN FIFTEEN MONTHS, HARLEY-DAVIDSON MOVED FROM PARENT TO SECURED CREDITOR.

Every step is a filed instrument with a date on it. What the sequence means is interpretation. That it occurred is not.

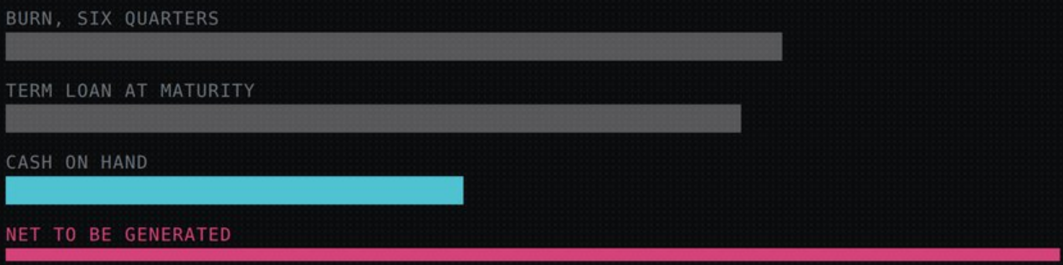
CASH, AND WHERE IT WENT



The 2025 increase is **borrowed money, not earned.**

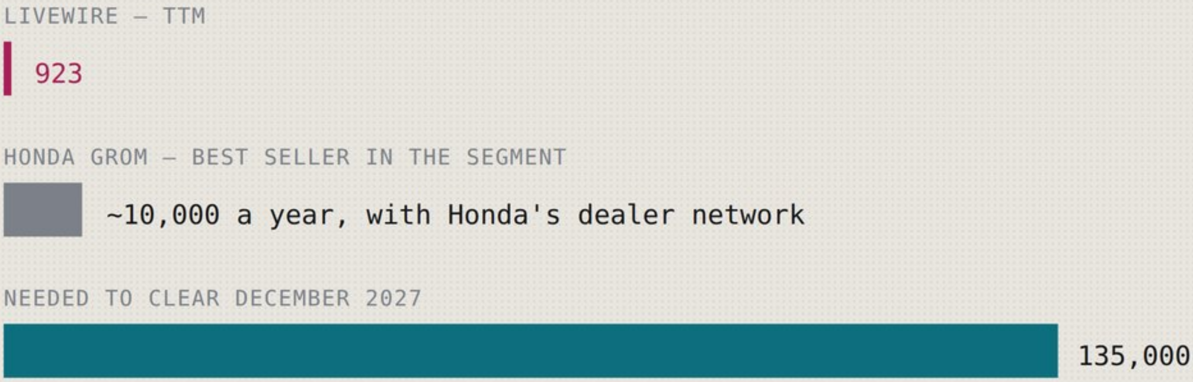
WHAT HAS TO BE FOUND BY 15 DECEMBER 2027

Burn, six quarters	$89.7M
Term loan at maturity	$85.0M
Less cash on hand	−$52.9M
Net to be generated	**$121.8M**



Interest accrues at SOFR + 4%, compounding, with nothing payable until maturity. The balance grows.

WHAT THAT MEANS IN MOTORCYCLES



All three drawn to one scale. **Twenty-one Honchos per dealer, per week, for fourteen months.**

THE REALISTIC CASE

2,000

S4 HONCHOS GLOBALLY IN A STRONG FIRST YEAR

S4 HONCHO · THE BIKE THAT HAS TO DO IT

COVERS THIS MUCH OF ANNUAL BURN

3%

COVERS THIS MUCH OF THE DEC 2027 GAP

1.5%

Nothing below roughly **40,000 units** changes any conclusion.

CREDIT WHERE IT'S DUE · THE PEOPLE DID THE WORK

THE HONCHO REVEAL · LIVEWIRE IMAGE

−47%
COST PER MOTORCYCLE · 2024 → Q2 2026

$44,147 to $23,172. Real engineering, real sourcing.

−18%
OPERATING CASH BURN · H1 26 VS H1 25

$32.4M to $26.4M. Disciplined.

45.6%
STACYC GROSS MARGIN · Q2 2026

The only segment that makes money. A real business.

105
DEALERS · 88 → 96 → 105

Cut the network 30%, then rebuilt it. Harder than building one.

171%
RETAIL GROWTH · Q2 2026

Retail beat wholesale. Dealer stock went down. Not channel stuffing.

$4,999
S4 HONCHO · LAUNCHED

New platform, new price, new manufacturer, in the middle of all this.

WHY IT ISN'T ENOUGH

S2 DEL MAR · THE LINEUP THEY HAVE

WHAT THEY DON'T HAVE IS A LINEUP WITH VOLUME IN IT. WHAT THEY CAN'T GET IS A SET OF CONTRACTS THAT LET THEM WIN EVEN IF THEY FOUND ONE.

You cannot execute your way out of cost-plus, take-or-pay, a ninety-day trapdoor, and a secured note held by your own parent. Those were signed above their pay grade — some of them before most of them arrived.

THE FINAL WORD · HARLEY-DAVIDSON

THE FIRST LIVEWIRE WORE A HARLEY-DAVIDSON BADGE · 2019

HARLEY DIDN'T LEAVE. IT CHANGED SEATS.

It still builds the bikes, at cost-plus. Still charges the services fee. Still floors the dealers through HDFS. Now collects SOFR + 4% on $76.8M secured on everything in the building, with a services agreement it can end on ninety days' notice.

It gets paid on the way up, on the way down, and on the way out. The 22% public float carries the risk without collecting a fee.

2026 WAS THE YEAR EVERYTHING WAS SUPPOSED TO HAPPEN. IT IS 2026. THEY ARE AT ONE PERCENT OF PLAN.


GROUND TRUTH NO. 01 · SEPTEMBER 2026

That's the series. Ground Truth No. 02 takes up the parent: what LiveWire is doing to Harley-Davidson's own numbers.

Full brief — 14 sections in six parts, 260 filings, every source linked, corrections log published.
weppner58-moto.github.io/ground-truth